**THE NATIONAL COMPANY LAW TRIBUNAL**
**NEW DELHI BENCH (COURT-II)**

**(CAA)-18/ND/2021**

**Connected with CA (CAA)-122/ND/2020**

**IN THE MATTER OF SECTIONS 230-232 OF THE COMPANIES ACT, 2013**

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

**AND**

## In the matter of Scheme of Arrangements

**OF**

**Newwave Commercial Private Limited**
CIN: U51109DL2005PTC274734
Registered office:
B-19/1, Shyam Vihar, Phase- II, Near Mata Mandir,
Gola Dairy Road, Najafgarh, New Delhi-110043.
(Applicant Company 1/Transferor Company)

**AND**

**P.R. Kumar Capital Private Limited**
CIN: U74899DL1985PTC022120
C-2/4, Safdarjung Development Area,
New Delhi – 110016.
(Applicant Company 2 /Transferee Company)

**Order Pronounced on : 12.11.2021**

**CORAM:**

**MR. ABNI RANJAN KUMAR SINHA, MEMBER (JUDICIAL)**

**MR. L. N. GUPTA, MEMBER (TECHNICAL)**

**PRESENT:**

For the Applicant : Ms. Amrita Sarkar, Advocate

## ORDER

## PER SHRI L. N. GUPTA, MEMBER (T)

The present Second Motion Application has been filed jointly by both the Applicant Companies under the provisions of Sections 230-232 of the Companies Act, 2013 read with Rule 15(1) of the Companies (Compromises, Arrangements & Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016 for the purpose of approval of the Scheme of Arrangement by way of Amalgamation (for brevity **"the Scheme"**) of the Transferor Company into Transferee Company. The Scheme will take effect from the Appointed date of April 01, 2019.

2. A perusal of the Application discloses that initially the First Motion application was filed before this Tribunal vide CA(CAA)-122/ND/2020 moved under Sections 230-232 of the Companies Act, 2013 and vide order dated 18.01.2021, directions were issued by this Tribunal, whereby the meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors of both the Applicant Companies were dispensed with.

3. Thereafter, the 2nd Motion petition was filed on 22.01.2021 vide (CAA) No.18/(ND)/2021 within the prescribed time limit and vide order dated 05.02.2021, the petitioners were directed to carry out publication in the newspapers namely, 'Business Standard (English; Delhi Edition) and

"Business Standard" in (Hindi; Delhi Edition). In addition, notices were directed to be served on to the Central government through Regional Director (Northern Region), Registrar of Companies (NCT of Delhi and Haryana), Official Liquidator, the Income Tax Department, New Delhi, Reserve Bank of India and other relevant sectoral regulators.

4. It is seen from the records that both the Applicant Companies have filed Compliance Affidavit dated 07.03.2021, affirming compliance of the order dated 05.02.2021 passed by this Tribunal. A perusal of the affidavit discloses that the Applicant companies have effected newspaper publications as directed in the Business standard (English Edition) and Business Standard (Hindi Edition) in their issues dated 10th Feb 2021 respectively. The copy of Original cuttings of the newspapers are annexed therewith. Further, they affirmed that the copy of the petition has been duly served upon the Registrar of Companies, Regional Director (Northern Region), Official Liquidator, Income Tax Department at the Delhi High Court and Reserve Bank of India. It is further clarified that there is no other sectoral regulator.

5. The Deputy Commissioner of Income Tax vide their first report dated 05.04.2021 had raised objection to the present application being admitted as proceedings under section 153C of IT Act 1961 for the Assessment Years from 2014-15 to 2020-21 were pending against the transferor company. Accordingly, it recommended rejection of the present

application. However, subsequently on 23.08.2021, the IT Department filed another affidavit annexing therewith the letter dated 30.07.2021 /02.08.2021 stating that since the Transferee Company has undertaken to pay the demands or liability of the Transferor Company (M/s Newwave Commercial Pvt. Ltd.), it has no objection to the Scheme of Amalgamation of the Transferor Company into the Transferee Company. The scanned copy of the aforesaid letter of the Income Tax Department is reproduced overleaf :

**Office of the**
**Deputy Commissioner of Income Tax**
**Central Circle-28, E-2, ARA Centre, Room No. 317,**
**Jhandewalan Extn., New Delhi-110055**
**Tele/ Fax: 23593423**

F. No. DCIT/CC-28/NCLT/2021-22/ 1062 Dated: 30/07/2021
02/08/2021

To

Ms. Zehra Khan, Jr. Standing Council,
Income Tax Department, S-74 GK-1,
New Delhi-110048

Madam,

**Sub: NO Objection in respect of Company Application No. – CA(CAA)-122(ND) of 2020 in the matter of the Companies Act, 2013 (18 of 2013) section 230 & 232 in the matter of Scheme of Amalgamation and in the matter of M/s Newwave Commercial Pvt. Limited [PAN- AACCN2949J](Transfer Company) and P.R. Kumar Capital Pvt. Ltd. [PAN: AAACD0042L](Transfer Company) & their respective Shareholders and creditors– reg.**

Kindly refer to the above mentioned subject.

This office received a mail dated 30.07.2021 from Ms. Zehra Khan (Standing Counsel) (Income Tax Department) wherein it was asked to furnish the comments on the affidavit filed by transferee company (P. R. Kumar Capital Pvt. Ltd.) in the matter of amalgamation of M/s Newwave Commercial Pvt. Ltd (Transferor and Assessee company) with transferee company ( M/s P. R. Kumar Capital Pvt. Ltd.).

In the above said affidavit, transferee company (P. R. Kumar Capital Pvt. Ltd.) at point no. 8 has mentioned that:

*"That the Transferee Company further undertakes that it will cooperate and pay and lawful liability that may arise on the Transferor Company pursuant to re-opening of case for A.Y. 2014-15 to 2020-21 under Section 153C of the Income Tax Act, 1961."*

In view of the above and after going through the content of the affidavit, transferee company has undertaken to pay the demands or liability of Transferor Company (M/s Newwave Commercial Pvt. Limited). Accordingly, this office has no objection in the proposed amalgamation of M/s Newwave Commercial Pvt. Ltd. into P.R. Kumar Capital Pvt. Ltd.

Yours faithfully,

Encl: As above.

(Vinod Kumar Chaudhary )
Deputy Commissioner of Income Tax
Central Circle-28, New Delhi

Copy to: (i) The Pr. CIT (Central-3), New Delhi for kind information.
(ii) The Addl. CIT, Range-7, New Delhi for kind information.

Vinod Kumar Chaudhary
Dy. Commissioner of Income Tax
Central Circle-28, Delhi

Deputy Commissioner of Income Tax

6. The Regional Director (NR) has filed the affidavit dated 23.08.2021 and at para 7 of its report has stated that the reply from the petitioner appears to be satisfactory and the matter may be decided on merit.

7. During the course of hearing, the petitioners were directed to intimate the RBI as regards to the Scheme of Amalgamation, which was duly complied with and service affidavit filed. The Petitioners have filed the Affidavit dated 17.08.2021 annexing therewith the Letter dated 10.08.21 of RBI containing no objection to the proposed merger of Newwave Commercial Private Limited (Non-NBFC) with P R Kumar Capital Private Limited (NBFC). The scanned copy of the letter of RBI is reproduced below:

(1)

भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA
www.rbi.org.in

प.वि.नदि.(सं.) S216/सी.एम.एस.-VII/05-16-194/2021-22 10 अगस्त, 2021

स्पीड पोस्ट

**The Managing Director**
**P R Kumar Capital Private Limited**
**C-2/4, Safdarjung Development Area**
**New Delhi- 110016**

महोदय,

**Merger of Newwave Commercial Private Limited (Non-NBFC) with P R Kumar Capital Private Limited (NBFC)**

कृपया उपरोक्त विषय पर अपने दिनांक 07 अप्रैल, 2021 के पत्र का संदर्भ लें।

2. इस विषय में सूचित किया जाता है कि आपको उपरोक्त इच्छित समामेलन की अनुमति प्रदान की जाती है।

3. आपको यह सलाह दी जाती है कि पिछले पृष्ठ पर उल्लिखित अनुबंध में दिए गए नियमों और शर्तों के पालन के बारे में हमें सूचित करें ।

4. यदि समामेलन नहीं होता है, तो आपसे अनुरोध है की हमें अविलंब सूचित करें।

भवदीया,

कुलप्रीत कौर
(सहायक प्रबंधक)

8. The Official Liquidator has filed its report on 15.03.20201, wherein it is submitted that the they have not received any complaint against the proposed scheme from any person/party interested in the scheme in any manner and that the affairs of the transferor company do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest. Hence, they do not have any objection if the proposed scheme of amalgamation is allowed.

9. The petitioners have also filed the affidavit dated 30.03.2021 stating that neither the Petitioner Companies nor their Authorized Representative have received any objection/representation from any third party or public at large against the petition or proposed Scheme of Amalgamation.

10. As regards the Share Exchange Ratio, the Applicant Companies at para 5.iv(a) of the Application have averred that –

> *"**0.168 (Zero Point one six eight zero)** Equity Shares of Rs.100/-(one Hundred) each to be issued and allotted by the Transferee Company in lieu of every **1(one)** Equity Share of Rs 10/-(Ten) each fully paid up to the shareholders of **Newwave Commercial Private Limited**, i.e. the Transferor company."*

11. The petitioners have affirmed that no proceedings for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under the provisions of the Companies Act, 1956 are pending against the Petitioner Companies.

12. In view of the foregoing, upon considering the approval accorded by the members and creditors of both the Applicant Companies to the proposed Scheme, as well the no objection reports filed by the Regional Director, (Northern Region), Income Tax Department, Official Liquidator and the RBI and further considering the affidavit of undertaking filed by the transferee company, there appears to be no impediment in sanctioning the proposed Scheme. **Consequently, sanction is hereby granted to the Scheme proposed by the Applicant Companies under Section 230 & 232 of the Companies Act, 2013.** The Applicant Companies, however, shall remain bound to comply with all statutory requirements in accordance with law.

13. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the aforesaid sanction granted by this Tribunal to the Scheme, will not come in the way of action being taken, albeit, in accordance with law, against any of the concerned person, Director and Officials of the Applicant Companies.

14. While approving the scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes, GST, or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

15. **THIS TRIBUNAL FURTHER ORDERS THAT :**

(i) Upon the sanction becoming effective from the appointed date of amalgamation i.e., 27.09.2019, the Transferor Company shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Company are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iii) All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no

less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Company Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vii) The Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the transferor Company and the transferee company, in respect of the assets sought to be transferred under the proposed scheme.

(viii) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

16. That the Applicant Company shall within thirty days of the date of the receipt of this Order cause a Certified Copy of this Order to be delivered to the Registrar of Company for registration and on such Certified Copy being so delivered, the Transferor Company shall be dissolved and the Registrar of

Company shall place all documents relating to the Transferor Company on the file kept by him in relation to the Transferee Company and the files relating to all the Applicant Company shall be consolidated accordingly.

17. The Company Application is **ALLOWED** in the aforesaid terms.

-Sd-

**(L. N. Gupta)**
**Member (T)**

-Sd-

**(Abni Ranjan Kumar Sinha)**
**Member (J)**